will weaken over the next six months but you don't want to disturb some long-term holdings, perhaps for tax reasons. What you can do is sell short other stocks as a hedge. For example, you own some General Motors on which you're hoping for a long-term gain. In the short run, you might want to sell short Ford to protect yourself. So for either speculating or hedging, short selling can be very useful.

Somehow it just doesn't seem like apple pie and the flag to sell short. People perceive it as a bet against the country and that's just wrong.

I personally like to sell short and frequently feel more comfortable on the short side of the market than on the long. But short selling has a bad rap. The average person has a tremendous hang-up about selling short. I don't know why but it exists. In no particular order, here are some of the perceived negatives about short selling, none of which is true.

The first misconception is that short selling is un-American. Somehow it just doesn't seem like apple pie and the flag to sell short. People perceive it as a bet against the country and that's just wrong. If you sell short General Motors or AT&T, you're not betting against the United States. All you're saying is that at times these stocks may be overvalued. If the stock is worth $50 and it's selling for $70 or $80, there's a good chance it may recede to $50 or even $40, especially if it's a bear market. There's nothing unethical about that appraisal. It's just reality—the stock may go down.

Sometimes you may sell a stock short when you feel that the company will go bankrupt. That's not un-American either. There are thousands and thousands of bankruptcies each year in the U.S. Your selling short is not going to cause any com-